

Monthly Variance Memo

Company	NovaCRM, Inc.
Period	February 2026
Prepared by	E-Solutions
Memo status	DRAFT — Pending finance QA review
Checkpoint	VR-2026-02-0047
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Executive Summary

February revenue of **\$473.4K exceeded budget by \$15.4K (+3.4%)**, driven by strong SaaS subscription growth that more than offset a shortfall in professional services. Total expenses exceeded budget by \$14.1K (+3.3%), primarily from legal costs tied to the Series B process and accelerated engineering contractor spend for the API v2 launch.

Operating income of \$31.3K beat plan by \$1.3K. Revenue trajectory is healthy. Expense overages are explainable and largely non-recurring.

Two items require leadership attention: 1. Professional services pipeline — two delayed projects signal potential Q2 softness 2. Engineering contractor spend — up 95% over two months with no defined end date confirmed

Topline Performance

Metric	Actual	Budget	Var (\$)	Var (%)	Signal
Total Revenue	\$473,400	\$458,000	+\$15,400	+3.4%	Favorable
Total COGS	\$89,700	\$85,500	+\$4,200	+4.9%	Watch
Gross Profit	\$383,700	\$372,500	+\$11,200	+3.0%	Favorable
Gross Margin	81.1%	81.3%	-0.3 pts	—	On plan
Total OpEx	\$352,400	\$342,500	+\$9,900	+2.9%	Watch
Operating Income	\$31,300	\$30,000	+\$1,300	+4.3%	Favorable

Key Operating Metrics

Metric	Feb 2026	Jan 2026	MoM	Trend
MRR	\$412,800	\$378,200	+9.1%	Accelerating
Net New MRR	\$34,600	\$22,800	+51.8%	Strong
Gross Margin	81.1%	80.4%	+0.7 pts	Stable
Headcount	62	58	+4	On plan
Burn Multiple	0.9x	1.1x	Improving	Favorable

Revenue Variance Detail

SaaS Subscriptions: +\$17,800 vs. budget (+4.5%)

	Actual	Budget	Prior Mo.
SaaS Subscription Revenue	\$412,800	\$395,000	\$378,200

Drivers: - 3 enterprise upsells closed in late January began billing in February (+~\$12K incremental MRR) - Net dollar retention at 108% annualized — expansion outpacing churn - Logo churn of 1 account (\$2,800 MRR) was below the budgeted 2 accounts

Third consecutive month of positive subscription variance. Q2 upsell pipeline remains healthy.

Professional Services: -\$6,500 vs. budget (-14.4%)

	Actual	Budget	Prior Mo.
Professional Services Revenue	\$38,500	\$45,000	\$41,200

Drivers: - 2 implementation projects delayed to March (customer-side resource constraints) - 1 project scope reduced from \$18K to \$12K after customer narrowed requirements - Services backlog is intact — revenue is deferred, not lost

Action required: Review Q2 services pipeline with sales by March 15. If delays persist, adjust the quarterly forecast.

Usage-Based Revenue: +\$4,100 vs. budget (+22.8%)

	Actual	Budget	Prior Mo.
Usage-Based Revenue	\$22,100	\$18,000	\$16,800

Drivers: - API call volumes exceeded projections as 2 customers moved into production workloads - Usage pricing performing as designed — grows with adoption without sales intervention

No action required. Monitor for sustainability.

Expense Variance Detail**COGS: +\$4,200 vs. budget (+4.9%)**

Line Item	Actual	Budget	Var (\$)	Var (%)	Recurring?
Cloud Infrastructure (AWS)	\$52,300	\$48,000	+\$4,300	+9.0%	Partially
Third-Party API Costs	\$8,900	\$7,500	+\$1,400	+18.7%	Yes
Customer Support Team	\$28,500	\$30,000	-\$1,500	-5.0%	Timing

- **AWS:** ~\$2,500 non-recurring (API v2 staging teardown completed March 1). Remaining \$1,800 reflects organic production growth.
- **API costs:** Correlated with usage revenue beat. Variable cost rising with variable revenue — acceptable.
- **Support:** Hire planned for February pushed to March. Catch-up expected.

Gross margin at 81.1% remains within the 80–83% target band.

Operating Expenses: +\$9,900 vs. budget (+2.9%)**Favorable:**

Line Item	Actual	Budget	Var (\$)	Var (%)
Engineering Salaries	\$142,000	\$148,000	-\$6,000	-4.1%
Paid Advertising	\$15,200	\$20,000	-\$4,800	-24.0%

- Engineering: Senior hire started Feb 15 instead of Feb 1 (half-month timing)
- Advertising: Intentional pause on 2 underperforming campaigns pending creative refresh

Unfavorable:

Line Item	Actual	Budget	Var (\$)	Var (%)	Recurring?
Engineering Contractors	\$18,500	\$12,000	+\$6,500	+54.2%	TBD
Legal & Professional	\$11,200	\$6,000	+\$5,200	+86.7%	No
Recruiting & Hiring	\$8,400	\$4,000	+\$4,400	+110.0%	Partially
Travel & Entertainment	\$6,700	\$5,000	+\$1,700	+34.0%	No
Events & Sponsorships	\$4,800	\$3,000	+\$1,800	+60.0%	No

- **Contractors (+\$6.5K):** Frontend contractor for API v2 dashboard. Expected roll-off mid-March. Extension risk if project slips.
- **Legal (+\$5.2K):** Series B term sheet review and IP assignment cleanup. Non-recurring assuming financing closes this month.
- **Recruiting (+\$4.4K):** Agency fees for 2 active searches. Both are budgeted roles — the agency fee line was underestimated in the annual plan.
- **Travel (+\$1.7K):** 2 unplanned customer meetings for renewal discussions. Both renewals secured.
- **Events (+\$1.8K):** Fintech meetup sponsorship (unplanned). Generated 3 qualified leads.

Headcount

Department	Actual	Plan	Var	Note
Engineering	22	23	-1	Senior hire in progress
Sales & Marketing	12	12	—	
Customer Support	8	9	-1	Pushed to March
G&A	6	6	—	
Product	4	4	—	
Contractors	10	8	+2	API v2 project
Total	62	62	—	

Net headcount on plan. Mix shifted toward contractors — acceptable if temporary, needs correction if API v2 extends.

Risks and Watchouts

#	Risk	Exposure	Trigger
1	Professional services pipeline soft	~\$20K+/mo if Q2 misses repeat	Delayed projects not rescheduled by March 15
2	Contractor spend creep	+\$6.5K/mo ongoing if not capped	API v2 frontend engagement extends past March
3	AWS cost trajectory	~\$15K additional annually	Underlying growth rate (4% MoM) exceeds budgeted 2%
4	Recruiting costs underbudgeted	~\$4K/mo above plan	Agency fees at 2x annual plan rate

Recommended Actions

#	Action	Owner	By
1	Review Q2 professional services pipeline — confirm rescheduled projects, assess quarterly target	VP Sales	March 15
2	Confirm contractor roll-off for API v2 frontend — if extension needed, bring budget revision to leadership	VP Engineering	March 18
3	Audit AWS spend by workload tag — set monthly cost alert at 105% of budget	Engineering	March 20
4	Decide recruiting approach for remaining open roles: renegotiate agency terms or shift to direct sourcing	People Ops	March 22

Data Provenance and Audit Trail

This section documents the inputs, processing, and review chain for this memo.

Item	Detail
Source system	QuickBooks Online
GL export date	2026-03-04
Budget source	Board-approved 2026 annual budget, v2.1
Prior period	January 2026 actuals (validated, checkpoint VR-2026-01-0031)
COA template	coa-template-novaCRM, v1.2 (hash: a3f8c1d...)
Schema validation	Pass — 18/18 line items, 0 errors, 0 warnings
Injection scan	Pass — no adversarial patterns detected
Analysis checkpoint	VR-2026-02-0047
Analysis engine	E-Solutions variance engine v0.1
Draft generated	2026-03-05 09:47 UTC
QA reviewer	Pending assignment
Review status	DRAFT — awaiting finance QA review
Approval status	Not yet approved

How to read this section

- **Checkpoint ID** (VR-2026-02-0047) ties this memo to the exact source data, validation results, and analysis run. It can reproduce this memo at any time.
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- **Review status** tracks where this memo is in the approval workflow. No memo is delivered until it reaches "Approved" status and a reviewer has signed off.

Memo status: DRAFT — This memo has not been reviewed or approved for delivery. Final delivery is subject to finance QA review and customer approval via the E-Solutions portal.